

NEE

NEE N/A

Buy	\$87.70 ▼ 0.95%	12M Price Target \$102.00	52-Week Range \$66.77 – \$98.75	Market Cap \$182.92B
-----	-----------------	------------------------------	------------------------------------	-------------------------

NEE: Morgan Stanley Trims PT But Maintains Bullish View; Reiterate Buy

WHAT'S CHANGED

- Morgan Stanley maintained bullish stance on NEE despite a price target reduction (per Insider Monkey, 5/26) — signals near-term modeling adjustments but unchanged structural thesis.
- Motley Fool floated NEE/Dominion combination narrative (5/25) which could reshape sector M&A discourse; Trump nuclear EO (5/25) is a tangential positive for utilities with nuclear capacity exposure.

IMPLICATIONS

The PT trim against a maintained Buy is incrementally negative for momentum but reaffirms NEE's regulated FPL franchise and the largest renewables development backlog in North America as structural advantages. The nuclear EO is a marginal tailwind given NEE's Seabrook/Point Beach exposure and rising data-center power demand thesis. Sector rotation into utilities (+3.6% 5D) on AI/data-center power scarcity continues to validate the long thesis.

VALUATION

At \$87.70, NEE trades ~23.4x FY26E EPS and ~14x EV/EBITDA — a ~15% premium to regulated utility peers, justified by the renewables growth optionality. Base PT of \$102 implies ~16% upside via 25x FY27E EPS of ~\$4.10, anchored on 6-8% EPS CAGR guidance reaffirmation. Multiple expansion driver: data-center PPA wins and clarity on IRA tax-credit durability post-2026 policy noise.

KEY RISKS

- Interest rate sensitivity — long-duration cash flows vulnerable to a steeper Treasury curve.
- IRA/renewables tax credit policy risk under current administration creates backlog economics uncertainty.
- Florida regulatory risk at FPL (next rate case) and hurricane-season cost recovery overhangs.

RECENT NEWS

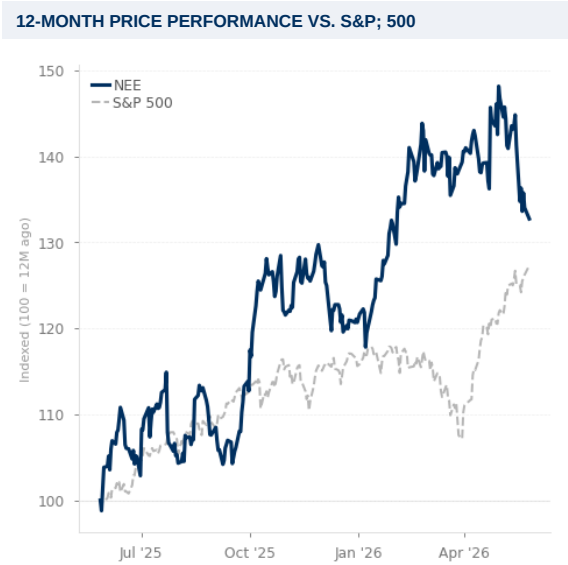
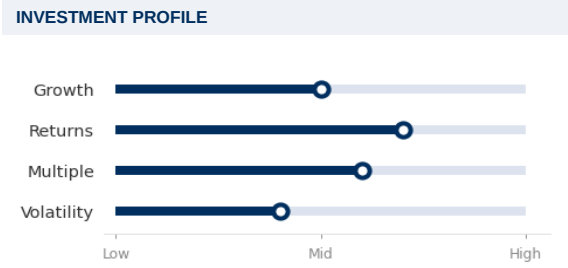
Morgan Stanley Keeps Bullish View on NextEra Energy (NEE) Despite PT Cut Insider Monkey · 2026-05-26 13:57

5 Strong Buy Passive Income Giants Have Raised Their Dividends by Double Digits for Years 24/7 Wall St. · 2026-05-26 11:42

VST Stock Underperforms Industry in the Past 3 Months: How to Play? Zacks · 2026-05-25 16:21

NextEra and Dominion Are About to Become the World's Largest Electric Utility. Here's What... Motley Fool · 2026-05-25 14:35

Key Data	
Price (USD)	\$87.70
12M Price Target	\$102.00
Upside / (Downside)	+16.3%
Market Cap	\$182.92B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$30,800M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.4x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$89.00	\$83.00
6 Months	\$100.00	\$92.00	\$78.00
1 Year	\$110.00	\$102.00	\$75.00
2 Years	\$125.00	\$112.00	\$72.00
5 Years	\$165.00	\$140.00	\$80.00
10 Years	\$240.00	\$185.00	\$95.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.59% 5D), Utilities (+3.60% 5D)

COLD SECTORS: Consumer Discretionary, Real Estate

ROTATION WATCH: AI-driven power demand is creating a rare Tech+Utilities co-rally; expect continued bid for regulated utilities with renewables/nuclear exposure as data-center capex inflects.

BYPRODUCT PLAY: Power-grid equipment (GEV, ETN), independent power producers (VST, CEG), and uranium/nuclear fuel names benefit alongside NEE as the electrification capex cycle broadens.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Leading nuclear pure-play has materially outpaced XLU YTD on Microsoft/Three Mile Island PPA template.
- VST (Vistra): Despite recent 3-month underperformance flagged by Zacks, multi-year run on data-center thesis remains intact.

NEE CONTEXT: NEE at 65% of 52-week range is lagging IPP peers (CEG, VST) that have captured the speculative AI-power premium, but NEE offers the superior risk-adjusted profile via regulated cash flows — relative underperformance is an entry opportunity, not a thesis break.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$85-88 on pullbacks; add aggressively below \$80

Time Horizon: 12-24 months

Thesis Invalidation: EPS growth deceleration below 5%, FPL ROE compression, or renewables backlog cancellations >15%

Hedging: Pair long NEE vs short higher-multiple IPP peers (e.g., VST) or XLU puts